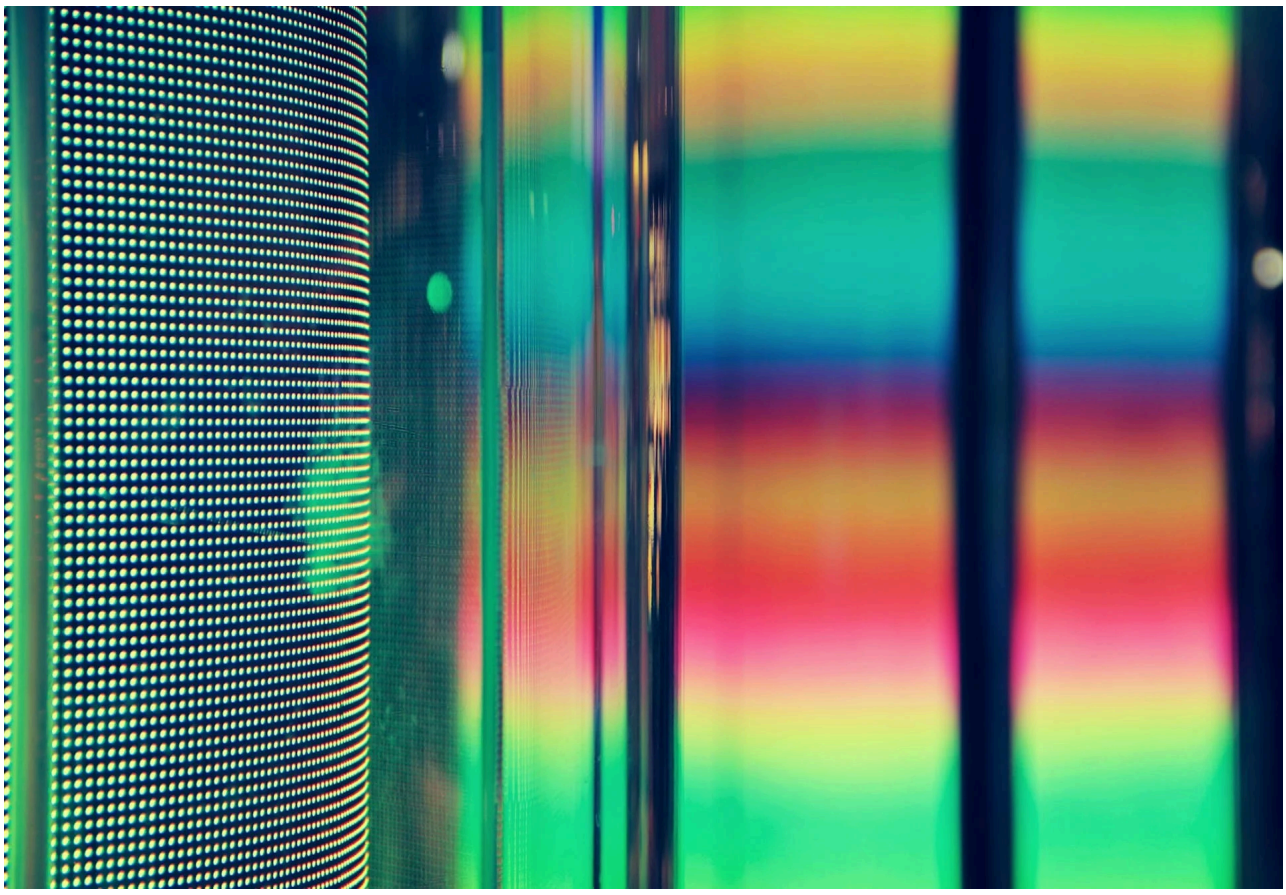


What is the State of AI Across Asia in 2026? Why the Region Is Building a Parallel System to the US

MARCH 22, 2026 BY TOM SIMPSON

By Tom Simpson | Digital in Asia | March 2026

AI in Asia 2026 looks nothing like the narrative Western media has been selling. The conventional framing — that Asia is "catching up" to the US in artificial intelligence — is wrong. Asia is building a parallel AI ecosystem, and in several critical dimensions it's already operating at larger and more sophisticated scale.

The Asia-Pacific AI market hit approximately USD 102 billion in 2025 and is on course for USD 735 billion by 2030 at a 34.5% CAGR. East Asian institutions hold 82.4% of all global AI patents. China's AI capital expenditure reached USD 91–98 billion in 2025 alone. Indonesia — not Silicon Valley, not Shenzhen — recorded the world's highest workplace AI adoption rate at 92%. And by 2030, Asia's share of global AI software revenue is projected to grow from 33% to 47%, with China's generative AI market nearly matching North America's.

Two parallel systems are being built simultaneously. The world will run on both.

Here are the 10 key findings from the AI Ecosystem Across Asia 2026 report.

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1. The APAC AI Market Is the Fastest-Growing Large Technology Market in the World

The numbers are unambiguous. From approximately USD 63–69 billion in 2024, the Asia-Pacific AI market reached USD 102 billion in 2025 and is forecast to exceed USD 735 billion by 2030. China accounts for roughly 31% of the regional total, India is the fastest-growing major contributor at a 38.9% CAGR, and Southeast Asia is the most dynamic emerging cluster.

McKinsey estimates AI could generate USD 3 trillion in additional economic value for Asia Pacific by 2030. This isn't a future bet — it's a present-tense deployment environment with measurable returns.

2. DeepSeek Changed Everything — For USD 6 Million

The defining AI event of 2025 came from a 200-person company backed by a Chinese hedge fund. DeepSeek's R1 model — a 671-billion-parameter Mixture of Experts architecture released under an MIT open-source licence — matched OpenAI's o1 on mathematics and coding benchmarks at a reported training cost of USD 6 million, versus USD 100+ million for comparable frontier models.

The release triggered a 17% single-day drop in Nvidia's share price and forced a global re-evaluation of AI infrastructure cost assumptions. For Asian enterprises, it demonstrated that frontier AI capability was accessible at costs even mid-market companies could afford. Chinese open-source models (Qwen and DeepSeek together) now account for approximately 30% of global AI token usage. And the push hasn't stopped at R1: DeepSeek's V4 — previewed in April 2026 and released in July 2026 — has since extended China's open-weight momentum.

3. Every Major Asian Country Is Building Its Own AI

Sovereign AI is the defining strategic theme of 2026 in Asia. Over 100 countries signed the Bangkok Declaration in February 2026 committing to AI sovereignty, and every major APAC economy now has a domestic large language model programme: India's Sarvam AI (an open-source 105-billion-parameter flagship plus a 30B variant, released February 2026, covering 22 Indian languages), Malaysia's ILMU (world-leading Bahasa Melayu performance, outscoring GPT-5 on MalayMMLU), Indonesia's Sahabat AI (70 billion parameters, supporting Javanese and Sundanese), Singapore's SEA-Lion, South Korea's state Sovereign AI Foundation Model programme (LG AI Research, SK Telecom, and Upstage advanced as phase-two teams after the January 2026 first-round cut, with Naver's HyperCLOVA X continuing outside it), Japan's NTT Sarashina, and Taiwan's TAIDE.

The logic is consistent across every market: AI will be as fundamental as electricity, and dependence on a foreign supplier of electricity is a strategic liability.

4. China Is Spending Close to USD 100 Billion a Year on AI

China's AI capital expenditure reached USD 91–98 billion in 2025 — a 51% year-on-year increase. Its Science & Technology Budget hit RMB 1.24 trillion (approximately USD 171 billion), the largest-ever science allocation in Chinese budgeting. Over 350 commercially registered large language models were deployed by mid-2025. Alibaba's Qwen model family has been downloaded over 400 million times on Hugging Face, making it the most-downloaded model family on the platform.

The AI Plus Action Plan mandates 70% AI penetration across key sectors by 2027, 90% by 2030, and a fully AI-integrated economy by 2035. No other country has articulated — or funded — an AI ambition at this scale.

5. Asia's AI Adoption Is Wide but Shallow

Here's the tension: 78% of APAC workers use AI at work at least weekly (versus 72% globally), and 70% of frontline employees use generative AI regularly — nearly 20 percentage points above the global average. Indonesia's 92% workplace adoption leads the world. The Philippines is at 86% among white-collar workers. Vietnam is at 88%.

But only 1 in 4 businesses have scaled GenAI with strong ROI. Only 57% of APAC companies are redesigning workflows for AI, versus 70% among global leaders. Just 1 in 10 APAC enterprises considers itself "very mature" in AI adoption. The infrastructure is in place. Execution at scale remains the challenge.

6. The Semiconductor Map Is a Geopolitical Map

Taiwan's TSMC delivered USD 122 billion in revenue in 2025 with 58% from high-performance computing and AI chips. It commands 71–72% of the global pure foundry market and manufactures every major AI accelerator from Nvidia, AMD, Apple, and Google. That's 72% of global foundry capacity concentrated on a single island facing the highest geopolitical risk in the AI supply chain — a concentration no diversification timeline can fully resolve before 2030.

South Korea's SK Hynix holds 53–57% of the global high-bandwidth memory market, posted record annual sales of KRW 97.1 trillion (USD 70.4 billion), and supplies the core memory for every major Nvidia AI GPU. Samsung and SK Hynix jointly control roughly 88% of HBM production. The total addressable HBM market is projected to reach USD 100 billion by 2030.

7. DBS Bank Generated Over SGD 1 Billion in AI Value — Three Years Ahead of Schedule

The most extensively documented enterprise AI case study in Asia — and arguably globally — is DBS Bank in Singapore. DBS now deploys over 1,500 AI/ML models across 370+ use cases. In FY 2025, it crossed SGD 1 billion (~USD 750 million) in economic value from AI, hitting the target set in 2022 three years early. Key metrics: 95% accuracy in fraud detection, 80% reduction in manual processing time, and customer satisfaction scores 25% higher than human agent conversations.

This matters because the APAC region experienced USD 688 billion in fraud losses in 2024 alone — nearly two-thirds of global fraud losses. The APAC AI in

Finance market is projected to grow from USD 8.85 billion in 2023 to USD 91.78 billion by 2032. DBS is the leading indicator of what financial institutions across Asia will need to achieve.

8. Southeast Asia's AI Transformation Is the Most Under-Covered Story in Global Tech

Malaysia captured 32% of Southeast Asia's total AI funding in a single year and saw data centre capacity explode from 120 MW to 690 MW in H1 2025. Vietnam became the first country in Southeast Asia with a standalone AI law, effective March 1, 2026. Thailand is targeting a 2.6 trillion baht (USD 74 billion) AI economy by 2030. The Philippines is navigating whether its USD 38 billion BPO sector — 1.8 million jobs — can transition from voice-based labour arbitrage to AI-augmented cognitive services.

Combined hyperscaler commitments across the region are staggering: AWS pledged USD 6 billion each to Malaysia and Indonesia, Microsoft committed USD 1.7 billion to Indonesia (its largest ever) plus USD 5.5 billion to Singapore through 2029 (announced 1 April 2026), and Google committed USD 1 billion to its first Thai data centre. AI could add USD 1 trillion in additional GDP to ASEAN by 2030.

9. Asia's AI Talent Pipeline Is Enormous — And Still Not Enough

China has an estimated 30,000+ active AI researchers, roughly triple the US figure. India graduates 2.6 million STEM students annually. Tsinghua University

generates more AI-related patents than MIT, Stanford, Princeton, and Harvard combined. Thirteen of the world's top 20 research institutions are now based in Asia, up from just three a decade ago.

And yet: China faces a 5 million AI professional gap. Japan estimates a 100,000-professional shortfall. India reports an 82% talent shortage rate for AI roles in 2026. Brain drain compounds the problem — an estimated 87% of Chinese-educated AI researchers who move to the US stay there. The region produces talent at extraordinary scale and still can't fill the roles it needs.

10. Asia and the US Are Building Parallel AI Ecosystems — And the World Will Run on Both

Asia leads the world in AI industrial deployment (China's 30,000 smart factories), AI patents (82.4% of global grants), AI research volume (34.5% of global publications), HBM semiconductors (South Korea's ~88% market share), and foundational chip manufacturing (TSMC's 72% of global foundry capacity).

The US leads in foundational model quality, private venture capital (87% of global AI VC), enterprise workflow maturity, and research citation impact (US patents cited roughly 7× more than Chinese patents). Asia's share of global AI software revenue is projected to grow from 33% in 2025 to 47% by 2030. China's generative AI market alone is projected to nearly match North America's by that year. The competitive dynamic isn't one side catching up — it's two parallel systems being built simultaneously.

The Bottom Line

Asia's AI moment is different from previous technology waves. It's not derivative. It's not optional. And it's being fought simultaneously across hardware, software, infrastructure, and policy — with Asia competing at the frontier in multiple dimensions at once.

The economic necessity is acute: ageing populations in Japan and South Korea, labour shortages across the region, BPO sectors facing existential transformation in India and the Philippines, and every government treating AI sovereignty as a national security priority. The combination of urgency, scale, and genuine technical capability is what makes this the most important technology story on the planet right now.

The full report covers 57 pages of market sizing, country deep dives, enterprise adoption analysis, company profiles, investment data, regulatory comparison, and strategic outlook through 2030. This post scratches the surface.

Read the full AI Ecosystem Across Asia 2026 report — market data, country analysis, company profiles, investment landscape, and 2026–2030 outlook → digitalinasia.com/reports

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